

Emissions and supplier engagement

In FY23, we set a revised 45% absolute reduction target for scope 3 category 1. Our goal meets the Science Based Targets Initiative’s (SBTi) criteria for emissions reduction goals. We partner with our highest emitting suppliers to drive emissions reduction through our Emissions Supplier Engagement Program (ESEP).

In the first phase of ESEP, the Procurement and Social and Environmental Responsibility (SER) teams engaged with suppliers and logistics carriers to understand their current emissions reduction initiatives and assess the best way to approach our program. We narrowed ESEP’s scope to focus on a subset of suppliers to prioritize the highest impact potential. Through our engagement, we gathered a better understanding of the following:

- **Data accuracy and availability:** One of the challenges suppliers face in achieving requested emissions reduction commitments is data limitations that cause inaccurate reporting and benchmarking.
- **Commit status and gaps:** Supplier maturity depends upon their emissions reduction targets and initiatives, which might reveal gaps against Dell’s commitment requests.
- **Partnership:** Supplier feedback on the largest areas of opportunity is key to partnering with Dell on emissions reduction initiatives.

The next ESEP phase includes more in-depth engagement and prioritization with our key suppliers, investing in new technologies and capabilities to improve automation and integrating solutions to streamline supply chain emissions

data collection. Supplier emissions forecasting and enhanced hotspot analysis will drive tailored action plans and engagement strategies.

Positive supply chain impact recognition

In FY24, we received recognition for our efforts in sustainable supply chain environmental practices. The [Institute of Public and Environmental Affairs](#) (IPE) ranked 742 companies and Dell was one of only two companies to receive IPE’s Green Supply Chain [Corporate Information Transparency Index](#) (CITI) Master ranking.¹² To achieve this, a company must rank as a top performance brand in the annual CITI ranking; maintain high performance standards in their supply chain environmental management¹³; and show that all key suppliers track their environmental performance through data systems.

The IPE also recognized Dell as one of the top three scoring [Climate Action Transparency Index](#) (CATI). This score was based on responsive engagement in: supply chain transparency, compliance performance, green supply chain practices, energy conservation and emissions reduction efforts and levels of public disclosures.

CDP annually evaluates corporate supply chain engagement on climate issues through its Supplier Engagement Ratings. In FY24, we maintained our recognition as a CDP Supplier Engagement Leader based on our efforts in the transition toward a net zero sustainable economy. Recognition criteria included assessing the level of climate performance within our business strategy; science-based target reporting; scope 3 emissions accounting; supplier engagement levels; and the overall CDP Climate Change performance.

Capstone research on public policy and supplier emissions

In FY24, we partnered with the Columbia University School of International and Public Affairs for a capstone project to research policy analysis and regulations designed to incentivize corporate carbon emissions reductions in Southeast Asian countries. This research identified policies that offer cost-effective emissions reduction opportunities and government support for corporate decarbonization. The results also generated long-term practical insights on how suppliers can effectively leverage external policies to reduce their carbon footprint.

Supplier emissions energy challenges

The largest source of emissions often comes from suppliers’ own scope 3 category 1 emissions, but these often take the longest time to reduce. Corporate decarbonization must make economic sense, with priority given to the most straightforward solutions that provide large emissions reduction across all scopes. Reducing scope 2 emissions is often the most straightforward and cost-effective option through renewable energy procurement and energy efficiency projects. However, a primary decarbonization challenge expressed by suppliers is lack of access to renewable energy due to cost and location barriers.

The capstone project identified five types of policies that incentivize decarbonization for suppliers, depending on the markets or jurisdictions where they operate:

1. **Subsidies and Loans:** Favorable interest rates and financing for certain projects that reduce carbon emissions.
2. **Grants:** Funding awarded for renewable energy projects or for receiving verification of substantial progress toward achieving carbon neutrality.
3. **Power Purchase Agreements:** Long-term contract between a customer and electricity generator to purchase renewable electricity at pre-negotiated prices (multiple schemes available depending on location).
4. **Carbon Tax Incentive:** Government tax credits or special depreciation for purchase of assets that improve manufacturing efficiency or reduce carbon emissions.
5. **Foreign Ownership:** Foreign investment and ownership permitted for renewable energy projects within specific countries.

Capstone recommendations

The capstone project recommendations support ESEP’s goal to educate and train suppliers on opportunities to decarbonize while ensuring alignment with economic benefits. Suppliers need customized planning support to identify decarbonization projects that leverage region-specific policy incentives and emissions data platforms to explore reductions in their own supply chain. We will continue to monitor policy updates as a key driver for engagement with suppliers in our progress toward scope 3 category 1 emissions reduction key driver for 2030.